

Canada Bread Company, Limited

Interim Financial Statements

For the Third Quarter Ended

September 30, 2013

Consolidated Balance Sheets

(In thousands of Canadian dollars) (Unaudited)	**As at September 30, 2013**	As at September 30, 2012	As at December 31, 2012	As at January 1, 2012
		(Restated) (Note 20)	*(Restated) (Note 20)*	*(Restated) (Note 20)*
ASSETS				
Current assets				
Cash and cash equivalents	**$ 188,359**	$ 87,300	$ 90,415	$ 59,223
Accounts receivable *(Note 4)*	**39,807**	39,782	50,465	56,522
Note receivable *(Note 4)*	**30,225**	50,893	43,033	52,587
Inventories *(Note 5)*	**59,689**	63,912	62,766	60,048
Income taxes recoverable	**380**	–	–	2,162
Assets held for sale *(Note 6)*	**5,320**	–	–	–
Prepaid expenses and other assets	**6,562**	4,288	4,972	5,218
	$ 330,342	$ 246,175	$ 251,651	$235,760
Property and equipment	**391,304**	409,958	410,479	425,944
Investment property	**10,125**	9,524	9,103	8,415
Other long-term assets	**4,783**	4,713	4,994	4,456
Deferred tax asset	**17,588**	19,419	17,874	17,917
Goodwill *(Note 8)*	**267,082**	263,177	264,243	266,013
Intangible assets *(Note 9)*	**9,622**	12,046	11,647	12,710
Total assets	**$ 1,030,846**	$ 965,012	$ 969,991	$ 971,215
LIABILITIES AND SHAREHOLDERS' EQUITY				
Current liabilities				
Bank indebtedness	**$ –**	$ 1,587	$ –	$ 3,153
Accounts payable and accruals	**208,175**	177,101	169,431	192,551
Provisions *(Note 10)*	**7,207**	10,251	9,928	23,066
Due to Maple Leaf Foods Inc. *(Note 17)*	**6,320**	3,571	4,830	2,451
Dividends payable	**12,708**	12,708	12,708	5,083
Income taxes payable	**–**	123	2,008	–
Current portion of long-term debt	**564**	350	358	2,452
	$ 234,974	$ 205,691	$ 199,263	$ 228,756
Long-term debt	**2,433**	2,986	2,921	1,634
Deferred tax liability	**26,375**	19,224	19,998	21,784
Employee benefits *(Note 7)*	**40,112**	60,447	56,011	50,434
Provisions *(Note 10)*	**8,144**	5,521	6,277	5,005
Total liabilities	**$ 312,038**	$ 293,869	$ 284,470	$ 307,613
Shareholders' equity				
Share capital	**$ 142,965**	$ 142,965	$ 142,965	$ 142,965
Retained earnings	**582,262**	543,316	555,322	530,852
Accumulated other comprehensive loss *(Note 11)*	**(6,419)**	(15,138)	(12,766)	(10,215)
Total shareholders' equity	**$ 718,808**	$ 671,143	$ 685,521	$663,602
Total liabilities and shareholders' equity	**$ 1,030,846**	$ 965,012	$ 969,991	$ 971,215

Contingency (Note 12)

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts) *(Unaudited)*	Three months ended September 30,		Nine months ended September 30,	
	2013	2012	**2013**	2012
		(Restated) (Note 20)		*(Restated) (Note 20)*
Sales	**$ 392,501**	$ 401,494	**$ 1,158,836**	$ 1,176,599
Cost of goods sold	**305,866**	318,879	**923,339**	946,787
Gross margin	**$ 86,635**	$ 82,615	**$ 235,497**	$ 229,812
Selling, general and administrative expenses	**47,735**	49,286	**143,037**	152,103
Earnings before the following:	**$ 38,900**	$ 33,329	**$ 92,460**	$ 77,709
Restructuring and other related costs *(Note 13)*	**(3,714)**	(170)	**(15,168)**	(7,259)
Other (expense) income *(Note 15)*	**(744)**	(13)	**(5,136)**	1,358
Earnings before interest and income taxes	**$ 34,442**	$ 33,146	**$ 72,156**	$ 71,808
Interest (income) expense *(Note 16)*	**(73)**	365	**615**	1,193
Earnings before income taxes	**$ 34,515**	$ 32,781	**$ 71,541**	$ 70,615
Income taxes	**10,027**	9,246	**20,243**	20,826
Net earnings	**$ 24,488**	$ 23,535	**$ 51,298**	$ 49,789
Earnings per share				
Basic and diluted earnings per share	**$ 0.96**	$ 0.93	**$ 2.02**	$ 1.96
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended September 30,		Nine months ended September 30,	
	2013	2012	**2013**	2012
		(Restated) (Note 20)		*(Restated) (Note 20)*
Net earnings	**$ 24,488**	$ 23,535	**$ 51,298**	$ 49,789
Other comprehensive income (loss)				
Item that will not be reclassified to profit or loss:				
Change in actuarial gains and losses	**836**	(4,061)	**13,767**	(6,824)
Total item that will not be reclassified to profit or loss	**836**	(4,061)	**13,767**	(6,824)
Items that are or may be reclassified subsequently to profit or loss:				
Change in accumulated foreign currency translation adjustment	**(471)**	(4,836)	**6,331**	(4,273)
Change in unrealized gains and losses on cash flow hedges	**(430)**	(228)	**16**	(650)
Total items that are or may be reclassified subsequently to profit or loss	**$ (901)**	$ (5,064)	**$ 6,347**	$ (4,923)
	$ (65)	$ (9,125)	**$ 20,114**	$ (11,747)
Comprehensive income	**$ 24,423**	$ 14,410	**$ 71,412**	$ 38,042

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars) (Unaudited)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive loss**	**Total shareholders' equity**
Balance at December 31, 2012 (restated) *(Note 20)*	**$ 142,965**	**$ 555,322**	**$ (12,766)**	**$ 685,521**
Net earnings	**–**	**51,298**	**–**	**51,298**
Other comprehensive income	**–**	**13,767**	**6,347**	**20,114**
Dividends declared ($1.50 per share)	**–**	**(38,125)**	**–**	**(38,125)**
Balance at September 30, 2013	**$ 142,965**	**$ 582,262**	**$ (6,419)**	**$ 718,808**

(In thousands of Canadian dollars) (Unaudited)	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
				(Restated) (Note 20)
Balance at January 1, 2012 (restated) *(Note 20)*	$ 142,965	$ 530,852	$ (10,215)	$ 663,602
Net earnings	–	49,789	–	49,789
Other comprehensive loss	–	(6,824)	(4,923)	(11,747)
Dividends declared ($1.20 per share)	–	(30,501)	–	(30,501)
Balance at September 30, 2012 (restated) *(Note 20)*	$ 142,965	$ 543,316	$ (15,138)	$ 671,143

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) (Unaudited)	Three months ended September 30,		Nine months ended September 30,	
	2013	2012 *(Restated) (Note 20)*	**2013**	2012 *(Restated) (Note 20)*
CASH (USED IN) PROVIDED BY:				
Operating activities				
Net earnings	**$ 24,488**	$ 23,535	**$ 51,298**	$ 49,789
Add (deduct) items not affecting cash:				
Depreciation and amortization	**13,051**	12,582	**38,947**	36,522
Deferred income taxes	**2,615**	(1,039)	**1,531**	(121)
Income tax current	**7,412**	10,285	**18,712**	20,947
Interest (income) expense	**(73)**	365	**615**	1,193
Gain on sale of long-term assets	**(30)**	(11)	**(1,387)**	(137)
Impairment of assets	**–**	–	**4,212**	–
Increase in pension liability	**1,235**	473	**2,706**	840
Net income taxes paid	**(10,022)**	(7,831)	**(23,576)**	(18,222)
Interest received (paid)	**121**	(350)	**(15)**	(1,204)
Change in provision for restructuring and other related costs	**502**	(1,157)	**(217)**	(7,755)
Other	**(553)**	(112)	**41**	304
Change in non-cash operating working capital	**27,665**	(12,608)	**67,094**	(1,553)
Cash provided by operating activities	**$ 66,411**	$ 24,132	**$ 159,961**	$ 80,603
Financing activities				
Dividends paid	**$ (12,708)**	$ (12,708)	**$ (38,125)**	$(22,840)
Net decrease in long-term debt	**(1,761)**	(34)	**(211)**	(822)
Cash used in financing activities	**$ (14,469)**	$ (12,742)	**$ (38,336)**	$ (23,662)
Investing activities				
Additions to long-term assets	**$ (9,214)**	$ (10,147)	**$ (26,797)**	$ (32,180)
Capitalization of interest expense	**(323)**	–	**(323)**	–
Proceeds from sale of long-term assets	**346**	2,434	**3,439**	4,882
Cash used in investing activities	**$ (9,191)**	$ (7,713)	**$ (23,681)**	$ (27,298)
Increase in cash and cash equivalents	**$ 42,751**	$ 3,677	**$ 97,944**	$ 29,643
Net cash and cash equivalents, beginning of period	**145,608**	82,036	**90,415**	56,070
Net cash and cash equivalents, end of period	**$ 188,359**	$ 85,713	**$ 188,359**	$ 85,713
Net cash and cash equivalents is comprised of:				
Cash and cash equivalents	**$ 188,359**	$ 87,300	**$ 188,359**	$ 87,300
Bank indebtedness	**–**	(1,587)	**–**	(1,587)
Net cash and cash equivalents, end of period	**$ 188,359**	$ 85,713	**$ 188,359**	$ 85,713

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Notes to the Condensed Consolidated Interim Financial Statements

Three and nine months ended September 30, 2013 and 2012
(Tabular amounts in thousands of Canadian dollars, unless otherwise indicated)
(Unaudited)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The condensed consolidated interim financial statements of the Company as at and for the three and nine months ended September 30, 2013 include the accounts of the Company and its subsidiaries. The Company's results are organized into two segments: Fresh Bakery and Frozen Bakery. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. BASIS OF PREPARATION

(a) Statement of Compliance

The unaudited condensed consolidated interim financial statements (or "consolidated financial statements") have been prepared in accordance with International Accounting Standards ("IAS") 34 *Interim Financial Reporting* as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described herein, consistent with the Company's 2012 annual audited consolidated financial statements except for new accounting standards adopted during the period as described in Note 3(a).

The consolidated financial statements were approved for issue by the Board of Directors on October 29, 2013.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments and defined benefit plan assets and liabilities that are stated at fair value.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgments

The preparation of consolidated financial statements in accordance with International Financial Reporting Standards ("IFRS") requires Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Judgments included in the financial statements are decisions made by Management, based on an analysis of relevant information available at the time the decision is made. Judgments relate to application of accounting policies, and decisions related to the measurement, recognition and disclosure of financial amounts.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included both below and in the statement notes relating to items subject to significant estimate uncertainty.

Long-lived Assets Valuation

The Company performs impairment testing on its long-lived assets annually for goodwill and intangible assets, and when circumstances indicate that there may be impairment, for other long-lived assets. Management's judgment is involved in determining if there are circumstances indicating that testing for impairment is required, and in determining the grouping of assets to identify their Cash Generating Units ("CGU") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU or CGU group to its carrying value. The recoverable amount is defined as the higher of: (i) value in use, or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management's judgment and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Provisions for Inventory

Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of salary escalation, retirement ages of employees, mortality rates and expected health care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized, employee benefit plan assets and liabilities and comprehensive income (loss) will be affected.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, net earnings and other comprehensive income (loss).

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect the carrying value of these assets, net earnings and comprehensive income (loss).

3. SIGNIFICANT ACCOUNTING POLICIES

The consolidated financial statements should be read in conjunction with the Company's 2012 annual audited consolidated financial statements. These consolidated financial statements have been prepared in accordance with IFRS using the same accounting policies as were applied from the 2012 annual consolidated financial statements, except for new standards adopted during the period.

(a) Accounting Standards Adopted During the Period

The Company applied, for the first time beginning on January 1, 2013, certain standards and amendments, some of which required restatement of previous financial statements. This included IFRS 10 *Consolidated Financial Statements*, IFRS 11 *Joint Arrangements*, IAS 19 (2011) *Employee Benefits*, IFRS 13 *Fair Value Measurement* and amendments to IAS 1 *Presentation of Financial Statements*. As required by IAS 34 *Interim Financial Reporting* and IAS 8 *Accounting Policies, Change in Accounting Estimates and Errors*, the nature and the effect of these changes are disclosed below. In addition, the application of IFRS 12 *Disclosure in Other Entities* will result in additional disclosures that the Company will disclose for the first time in the annual consolidated financial statements for the year ending December 31, 2013.

Several other new standards and amendments apply for the first time in 2013. However, they do not impact the annual consolidated financial statements of the Company or the interim consolidated financial statements of the Company.

The nature and the impact of each new standard are described below:

Financial Assets and Liabilities

Beginning on January 1, 2013, the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures* on a retrospective basis. These amendments contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. As the Company is not offsetting financial instruments and does not have relevant offsetting arrangements, the retrospective adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company.

Consolidated Financial Statements

Beginning on January 1, 2013, the Company adopted IFRS 10 *Consolidated Financial Statements* on a retrospective basis. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that address consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPEs")*, in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27. The adoption of IFRS 10 had no impact on the Company.

Joint Arrangements

Beginning on January 1, 2013, the Company adopted the amendment to IFRS 11 *Joint Arrangements* on a retrospective basis. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As the Company does not have any joint arrangements, the adoption of IFRS 11 did not have any impact on the Company.

Disclosure of Interests in Other Entities

Beginning on January 1, 2013, the Company adopted IFRS 12 *Disclosure of Interests in Other Entities*. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities. Any new disclosure required by the adoption of this standard will be presented for the first time in the annual financial statements for the year ending December 31, 2013.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. The Company adopted IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The disclosure requirements are not required for interim consolidated financial statements, unless significant events and transactions in the interim period require that they are provided. Accordingly, the Company will make any relevant disclosures in its annual statements for the year ending December 31, 2013.

Fair Value Measurement

Beginning on January 1, 2013, the Company adopted IFRS 13 *Fair Value Measurement* on a prospective basis. IFRS 13 replaces the fair value measurement guidance contained in individual IFRS with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The adoption of IFRS 13 did not have a material impact on the fair value measurements carried out by the Company. Additional disclosures required as a result of the adoption of IFRS 13 are included in Note 14.

Presentation of Items of Other Comprehensive Income – Amendment to IAS 1

Beginning on January 1, 2013, the Company adopted the amendment to IAS 1 *Presentation of Financial Statements* on a retrospective basis. The amendment requires that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The amendment affected the presentation of the consolidated statement of other comprehensive income and had no impact on the financial results of the Company.

Employee Benefits

Beginning on January 1, 2013, the Company adopted the revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. The revised standard requires that the calculation of expected return on assets and interest cost be replaced with a net interest, calculated based on the discount rate at the beginning of the year multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the Company as incurred rather than included in the expected return. The impact of adoption is further discussed in Note 20. This standard also has other amendments clarifying the timing of recognition of termination benefits, the adoption of which had no impact to the Company.

Recoverable Amount Disclosures for Non-Financial Assets

In May 2013, the IASB issued Recoverable Amount Disclosures for Non-Financial Assets (amendments to IAS 36), to reverse the unintended requirement in IFRS 13 *Fair Value Measurement* to disclose the recoverable amount of every cash generating unit to which significant goodwill or indefinite-life intangible assets have been allocated. Under the amendments, the recoverable amount is required to be disclosed only when an impairment loss has been recognized or reversed.

During the second quarter, the Company has early adopted, on a retrospective basis, these amendments, which did not have a material impact to the disclosures made by the Company.

(b) Recent Accounting Pronouncements

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009)

and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to IAS 32 *Financial Instruments: Presentation*. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The Company intends to adopt the amendments to IAS 32 in its financial statements for the annual period beginning on January 1, 2014. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

4. ACCOUNTS RECEIVABLE AND NOTE RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and a very limited recourse obligation for delinquent receivables. At September 30, 2013, trade accounts receivable being serviced under this program amounted to $43.6 million (September 30, 2012: $102.8 million; December 31, 2012: $95.3 million). In return for the sale of its trade receivables, the Company received cash of $13.4 million (September 30, 2012: $51.9 million; December 31, 2012: $52.3 million) and a note receivable in the amount of $30.2 million (September 30, 2012: $50.9 million; December 31, 2012: $43.0 million). Due to the timing of receipts and disbursements, the Company may, from time to time, record a receivable or payable related to the securitization facility. As at September 30, 2013, the Company recorded a payable amounting to $39.8 million. The note receivable is non-interest bearing and is due on the settlement dates of the securitized accounts receivable.

The Company's securitization program requires the sale of trade accounts receivable to be treated as a sale from an accounting perspective and as a result, trade accounts receivable balances sold under this program are derecognized in the consolidated balance sheets as at January 1, 2012, December 31, 2012, September 30, 2012 and September 30, 2013. During the period the agreements were renewed, with substantially the same terms and conditions, with an expiry date of September 2016.

The Company recorded an amount receivable from the securitization facility of $0.1 million on September 30, 2012 (December 31, 2012 $1.0 million receivable: January 1, 2012 $6.7 million payable to the facility) netted against the notes receivable balance. These amounts should not have been presented on a net basis. These balances have been re-classified in comparative figures. The Company has determined that these amounts were not material to its consolidated financial statements for any prior interim or annual periods.

Components of accounts receivable are as follows:

	As at September 30, 2013	As at September 30, 2012	As at December 31, 2012	As at January 1, 2012
Trade receivables	**$ 26,494**	$ 29,279	$ 34,607	$ 40,032
Less: Allowance for doubtful accounts	**–**	(2,502)	–	(1,914)
Net trade receivables	**$ 26,494**	$ 26,777	$ 34,607	$ 38,118
Other receivables	**13,313**	13,005	15,858	18,404
	$ 39,807	$ 39,782	$ 50,465	$ 56,522

The aging of trade receivables is as follows:

	As at September 30, 2013	As at September 30, 2012	As at December 31, 2012	As at January 1, 2012
Current	**$ 25,023**	$ 28,472	$ 33,939	$ 37,790
Past due 0-30 days	**949**	183	161	1,338
Past due 31-60 days	**51**	63	–	287
Past due 61-90 days	**38**	216	205	371
Past due > 90 days	**433**	345	302	246
	$ 26,494	$ 29,279	$ 34,607	$ 40,032

The Company maintains an allowance for doubtful accounts that represents its estimate of any uncollectible amounts based on specific losses estimated on individual exposures.

5. INVENTORIES

	As at September 30, 2013	As at September 30, 2012	As at December 31, 2012	As at January 1, 2012
Raw materials	**$ 10,045**	$ 13,020	$ 14,506	$ 14,347
Work in process	**71**	89	69	34
Finished goods	**22,424**	24,426	20,403	19,692
Packaging	**7,370**	8,552	9,074	9,160
Spare parts	**19,779**	17,825	18,714	16,815
	$ 59,689	$ 63,912	$ 62,766	$ 60,048

During the three months ended September 30, 2013, inventory in the amount of $218.7 million (2012: $227.2 million) was expensed through cost of goods sold. During the nine months ended September 30, 2013, inventory in the amount of $656.5 million (2012: $671.8 million) was expensed through cost of goods sold.

6. ASSETS HELD FOR SALE

Assets held for sale relate to investment properties that are expected to be sold within the next 12 month period. The assets held for sale are considered non-allocated assets in segment reporting as disclosed in Note 19.

There were no assets held for sale as at September 30, 2012, December 31, 2012 and January 1, 2012.

7. EMPLOYEE BENEFITS

During the three months ended September 30, 2013, the Company recorded $3.6 million (2012: $4.2 million) related to net benefit plan expense including post-retirement benefit costs. For the nine months ended September 30, 2013, the Company recorded $11.9 million (2012: $11.9 million) related to net benefit plan expense including post-retirement benefit costs.

8. GOODWILL

Cost	**September 30, 2013**	September 30, 2012
Opening balance	**$ 378,638**	$ 378,743
Foreign currency translation	**5,084**	(2,306)
Balance	**$ 383,722**	$ 376,437
Impairment losses		
Opening balance	**$ (114,395)**	$ (112,730)
Foreign currency translation	**(2,245)**	(530)
Balance	**$ (116,640)**	$ (113,260)
Net carrying amounts	**$ 267,082**	$ 263,177

For the purposes of annual impairment testing, goodwill is allocated to the following groups of Cash Generating Units ("CGUs"), being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose:

	As at September 30, 2013	As at September 30, 2012	As at December 31, 2012	As at January 1, 2012
CGU Groups				
Canadian fresh bakery	**$ 123,867**	$ 123,867	$ 123,867	$ 123,867
North American frozen bakery	**141,190**	137,285	138,351	140,121
Fresh pasta	**2,025**	2,025	2,025	2,025
	$ 267,082	$ 263,177	$ 264,243	$ 266,013

9. INTANGIBLE ASSETS

	As at September 30, 2013	As at September 30, 2012	As at December 31, 2012	As at January 1, 2012
Indefinite life	**$ 1,100**	$ 1,506	$ 1,272	$ 1,350
Definite life	**8,522**	10,540	10,375	11,360
Total intangible assets	**$ 9,622**	$ 12,046	$ 11,647	$ 12,710

All indefinite life intangible assets are part of the Fresh Bakery CGU group.

10. PROVISIONS

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[i]	Total
Balance at December 31, 2012	**$ 394**	**$ 1,495**	**$ 3,758**	**$ 10,558**	**$ 16,205**
Charges	**–**	**–**	**–**	**10,587**	**10,587**
Reversals	**–**	**(103)**	**–**	**(161)**	**(264)**
Cash payments	**(23)**	**–**	**–**	**(4,000)**	**(4,023)**
Non-cash items	**–**	**–**	**(109)**	**–**	**(109)**
Balance at March 31, 2013	**$ 371**	**$ 1,392**	**$ 3,649**	**$ 16,984**	**$ 22,396**
Charges	**–**	**–**	**28**	**2,446**	**2,474**
Reversals	**–**	**–**	**–**	**(1,720)**	**(1,720)**
Cash payments	**–**	**(70)**	**–**	**(7,871)**	**(7,941)**
Non-cash items	**–**	**–**	**112**	**–**	**112**
Balance at June 30, 2013	**$ 371**	**$ 1,322**	**$ 3,789**	**$ 9,839**	**$ 15,321**
Charges	**–**	**–**	**29**	**3,333**	**3,362**
Reversals	**(43)**	**–**	**–**	**–**	**(43)**
Cash payments	**(3)**	**–**	**–**	**(3,440)**	**(3,443)**
Non-cash items	**–**	**–**	**154**	**–**	**154**
Balance at September 30, 2013	**$ 325**	**$ 1,322**	**$ 3,972**	**$ 9,732**	**$ 15,351**
Current					**$ 7,207**
Non-current					**8,144**
Total at September 30, 2013					**$ 15,351**

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[i]	Total
Balance at January 1, 2012	$ 119	$ 1,495	$ 3,510	$ 22,947	$ 28,071
Charges	81	–	–	1,256	1,337
Cash payments	(31)	–	–	(10,234)	(10,265)
Non-cash items	–	–	43	–	43
Balance at March 31, 2012	$ 169	$ 1,495	$ 3,553	$ 13,969	$ 19,186
Charges	43	–	–	1,292	1,335
Reversals	–	–	–	(572)	(572)
Cash payments	–	–	–	(3,260)	(3,260)
Balance at June 30, 2012	$ 212	$ 1,495	$ 3,553	$ 11,429	$ 16,689
Charges	100	–	493	389	982
Reversals	–	–	–	(380)	(380)
Cash payments	–	–	–	(1,519)	(1,519)
Balance at September 30, 2012	$ 312	$ 1,495	$ 4,046	$ 9,919	$ 15,772
Current					$ 10,251
Non-current					5,521
Total at September 30, 2012					$ 15,772

[i] *For additional information on restructuring and other related costs, see the table below.*

[ii] *Balance at December 31, 2012 includes current portion of $9.9 million and non-current portion of $6.3 million.*

The following table provides a summary of provisions recorded in respect of restructuring and other related costs as at September 30, 2013 and September 30, 2012, all on a pre-tax basis:

	Severance	Site closing and other cash costs	Retention	Restructuring and other related costs
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ 62**	**$ 10,558**
Charges	**9,751**	**623**	**213**	**10,587**
Reversals	**(161)**	**–**	**–**	**(161)**
Cash payments	**(2,972)**	**(865)**	**(163)**	**(4,000)**
Balance at March 31, 2013	**$ 13,184**	**$ 3,688**	**$ 112**	**$ 16,984**
Charges	**2,048**	**22**	**376**	**2,446**
Reversals	**(1,419)**	**(285)**	**(16)**	**(1,720)**
Cash payments	**(6,304)**	**(1,015)**	**(552)**	**(7,871)**
Balance at June 30, 2013	**$ 7,509**	**$ 2,410**	**$ (80)**	**$ 9,839**
Charges	**334**	**2,911**	**88**	**3,333**
Cash payments	**(2,619)**	**(816)**	**(5)**	**(3,440)**
Balance at September 30, 2013	**$ 5,224**	**$ 4,505**	**$ 3**	**$ 9,732**

	Severance	Site closing and other cash costs	Retention	Restructuring and other related costs
Balance at January 1, 2012	$ 14,975	$ 6,776	$ 1,196	$ 22,947
Charges	127	1,094	35	1,256
Cash payments	(7,125)	(2,732)	(377)	(10,234)
Non-cash items	144	(144)	–	–
Balance at March 31, 2012	$ 8,121	$ 4,994	$ 854	$ 13,969
Charges	–	1,104	188	1,292
Reversals	(419)	–	(153)	(572)
Cash payments	(1,580)	(1,680)	–	(3,260)
Non-cash items	637	–	(637)	–
Balance at June 30, 2012	$ 6,759	$ 4,418	$ 252	$ 11,429
Charges	354	–	35	389
Reversals	–	(380)	–	(380)
Cash payments	(821)	(698)	–	(1,519)
Balance at September 30, 2012	$ 6,292	$ 3,340	$ 287	$ 9,919

11. ACCUMULATED OTHER COMPREHENSIVE LOSS ATTRIBUTABLE TO SHAREHOLDERS

	Foreign currency translation adjustments[i]	Unrealized gain (loss) on cash flow hedges[i]	Change in actuarial gains and (losses)[ii]	Total accumulated other comprehensive loss
Balance at December 31, 2012	**$ (12,723)**	**$ (43)**	**$ –**	**$ (12,766)**
Other comprehensive income (loss)	**928**	**844**	**6,503**	**8,275**
Transfer to retained earnings	**–**	**–**	**(6,503)**	**(6,503)**
Balance at March 31, 2013	**$ (11,795)**	**$ 801**	**$ –**	**$ (10,994)**
Other comprehensive income (loss)	**5,874**	**(398)**	**6,428**	**11,904**
Transfer to retained earnings	**–**	**–**	**(6,428)**	**(6,428)**
Balance at June 30, 2013	**$ (5,921)**	**$ 403**	**$ –**	**$ (5,518)**
Other comprehensive income (loss)	**(471)**	**(430)**	**836**	**(65)**
Transfer to retained earnings	**–**	**–**	**(836)**	**(836)**
Balance at September 30, 2013	**$ (6,392)**	**$ (27)**	**$ –**	**$ (6,419)**

	Foreign currency translation adjustments[i]	Unrealized gain (loss) on cash flow hedges[i]	Change in actuarial gains and (losses)[ii]	Total accumulated other comprehensive loss
Balance at January 1, 2012	$ (10,743)	$ 528	$ –	$ (10,215)
Other comprehensive income (loss)	(2,298)	(700)	(620)	(3,618)
Transfer to retained earnings	–	–	620	620
Balance at March 31, 2012	$ (13,041)	$ (172)	$ –	$ (13,213)
Other comprehensive income (loss)	2,861	278	(2,143)	996
Transfer to retained earnings	–	–	2,143	2,143
Balance at June 30, 2012	$ (10,180)	$ 106	$ –	$ (10,074)
Other comprehensive income (loss)	(4,836)	(228)	(4,061)	(9,125)
Transfer to retained earnings	–	–	4,061	4,061
Balance at September 30, 2012	$ (15,016)	$ (122)	$ –	$ (15,138)

[i] *Items that are or may be subsequently reclassified to profit or loss.*

[ii] *Items that will not be reclassified to profit or loss.*

The change in accumulated foreign currency translation adjustments includes tax of $nil (2012: $nil) for the three and nine months ended September 30, 2013.

The change in unrealized gain (loss) on cash flow hedges includes income tax recovery of $0.2 million (2012: recovery of $0.1 million) for the three months ended September 30, 2013. The change in unrealized gain (loss) on cash flow hedges includes income tax expense of $nil million (2012: recovery of $0.2 million) for the nine months ended September 30, 2013.

The change in actuarial gains and losses includes tax expenses of $0.3 million (2012: recovery of $1.5 million) for the three months ended September 30, 2013. The change in actuarial gains and losses includes income tax expenses of $4.8 million (2012: recovery of $2.4 million) for the nine months ended September 30, 2013.

The Company estimates that $nil million of the unrealized loss included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the quarter ended September 30, 2013, gain of $0.3 million net-of-tax (2012: nil net-of-tax) was released to earnings from accumulated other comprehensive loss and is included in the net change for the period. During the nine months ended September 30, 2013, a gain of $0.9 million net-of-tax (2012: gain of $0.3 million net-of-tax) was released to earnings from accumulated other comprehensive loss and is included in the net change for the period.

12. CONTINGENCY

A recent Supreme Court of Canada decision has created a liability for the Company pertaining to a deficit in a multi-employer plan related to a previously acquired business. Preliminary indications are that the Company's liability will not exceed $1 million. The Company has not recorded any amount in respect of this ruling as at September 30, 2013.

13. RESTRUCTURING AND OTHER RELATED COSTS

	Three months ended September 30,		Nine months ended September 30,	
	2013	2012	**2013**	2012
FRESH BAKERY				
Management structure changes				
Severance	**$ 334**	$ 354	**$ 7,652**	$ 62
Retention	**88**	–	**88**	–
	$ 422	$ 354	**$ 7,740**	$ 62
Bakery closures				
Severance	**$ –**	$ –	**$ 2,171**	$ –
Site closing and other costs	**68**	(380)	**428**	1,521
Asset impairment and accelerated depreciation	**298**	83	**1,198**	1,568
Retention	**–**	35	**573**	105
Pension	**89**	84	**(509)**	277
	$ 455	$ (178)	**$ 3,861**	$ 3,471
FROZEN BAKERY				
Management structure changes				
Severance	**$ –**	$ –	**$ 730**	$ –
Bakery closures				
Site closing and other costs	**$ 2,843**	$ –	**$ 2,843**	$ 297
Asset impairment and accelerated depreciation	**(6)**	(6)	**(6)**	3,429
	$ 2,837	$ (6)	**$ 2,837**	$ 3,726
Total restructuring and other related costs	**$ 3,714**	$ 170	**$ 15,168**	$ 7,259

Negative amounts reflect adjustments to provisions.

A brief description of the projects is as follows:

Management structure changes

The Company has recorded restructuring and other related costs pertaining to organizational delayering and changes to its management structure.

Bakery closures

During the nine months ended September 30, 2013, the Company recorded charges in connection with the closure of bakeries in Grand Falls, New Brunswick, Edmonton, Alberta, Toronto, Ontario and Shawinigan, Quebec.

During the nine months ended September 30, 2012, the Company recorded charges in connection with the closure of two bakeries in Toronto, Ontario, a bakery in Walsall, U.K., and a bakery in Delta, British Columbia. Additionally, the Company recorded charges related to ongoing restructuring initiatives including the closure of two distribution centres in Quebec.

Impairment

During the three months ended September 30, 2013, the Company recorded $nil (2012: $nil) of impairment of fixed assets through restructuring and other related costs.

During the nine months ended September 30, 2013, the Company recorded $nil (2012: $0.1 million) of impairment on fixed assets through restructuring and other related costs.

14. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company is exposed to credit risk, interest rate risk, liquidity risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2012.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods Inc.	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments[i]	Held-for-trading

[i] *These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.*

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in foreign exchange rates and commodity prices.

The fair values and notional amounts of derivative financial instruments at September 30 are shown below:

	2013			2012		
		Fair value			Fair value	
	Notional amount[i]	**Asset**	**Liability**	Notional amount[i]	Asset	Liability
Cash flow hedges						
Foreign exchange contracts[iii]	**$ 3,871**	**$ –**	**$ 41**	$ 31,430	$ –	$ 170
Derivatives not designated in a formal hedging relationship						
Foreign exchange contracts[ii]	**$ 34,252**	**$ 156**	**$ –**	$ 2,677	$ 24	$ –
Total fair value[iv]		**$ 156**	**$ 41**		$ 24	$ 170

[i] *Notional amounts are stated at the contractual Canadian dollar equivalent.*

[ii] *Derivatives are short-term and will impact profit or loss at various dates within the next 12 months.*

[iii] *The fair value represents the accumulated value of foreign exchange commodity contracts executed within the period. The accumulated other comprehensive income balance related to this balance will be released against a future pre-determined delivery schedule in accordance with the hedging program.*

[iv] *All assets and liabilities are current.*

The fair value of financial assets classified as loans and receivables and other financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature.

The carrying value of long-term debt as at September 30, 2013 was $3.0 million (September 30, 2012: $3.3 million; December 31, 2012: $3.3 million), which approximates the fair value.

Financial assets and liabilities classified as held-for-trading are recorded at fair value. The fair values of the Company's foreign exchange derivative financial instruments were determined using current market measures for foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value is determined based on exchange prices.

Derivatives not designated in a formal hedging relationship are classified as held-for-trading. Net gains (losses) on financial instruments held-for-trading consist of realized and unrealized gains (losses) on derivatives that were de-designated or were otherwise not in a formal hedging relationship. During the quarter, the Company recorded an after-tax loss of $nil (2012: $nil) on financial instruments held-for trading. During the nine months ended September 30, 2013, the Company recorded $nil (2012: an after-tax loss of $0.1 million) on financial instruments held-for-trading.

For the quarters ended September 30, 2013 and 2012, the amount of hedge ineffectiveness recognized in earnings was nominal.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ –	$ 156	$ –	**$ 156**
	$ –	**$ 156**	**$ –**	**$ 156**
Liabilities:				
Foreign exchange forward contracts	$ –	$ 41	$ –	**$ 41**
	$ –	**$ 41**	**$ –**	**$ 41**

There were no transfers between levels during the quarter ended September 30, 2013. Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. For financial instruments that are recognised at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization at the end of each reporting period.

15. OTHER (EXPENSE) INCOME

	Three months ended September 30,		Nine months ended September 30,	
	2013	2012	**2013**	2012
Gain on sale of property and equipment	**$ 30**	$ 11	**$ 1,387**	$ 137
Impairment of assets	**–**	–	**(4,212)**	–
Legal settlements	**–**	–	**–**	1,400
Net investment property expenses	**(784)**	–	**(1,696)**	–
Other	**10**	(24)	**(615)**	(179)
	$ (744)	$ (13)	**$ (5,136)**	$ 1,358

Impairments

Impairments recorded by the Company related to the following:

	Three months ended September 30,		Nine months ended September 30,	
	2013	2012	**2013**	2012
Property and equipment	**$ –**	$ –	**$ 2,388**	$ –
Investment properties	**–**	–	**569**	–
Intangibles	**–**	–	**1,255**	–
Total impairments	**$ –**	$ –	**$ 4,212**	$ –

16. INTEREST EXPENSE

	Three months ended September 30,		Nine months ended September 30,	
	2013	2012	**2013**	2012
Interest expense on securitized receivables	**$ 255**	$ 245	**$ 787**	$ 729
Deferred finance charges	**59**	59	**175**	175
Interest expense on long-term debt	**31**	16	**119**	70
Other interest (income) charges	**(95)**	45	**(143)**	219
Interest capitalized	**(323)**	–	**(323)**	–
	$ (73)	$ 365	**$ 615**	$ 1,193

17. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf. During year ended December 31, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions to the pre-existing agreement.

Fees paid to Maple Leaf in the three months ended September 30, 2013 for these services were $13.3 million (2012: $12.2 million). For the nine months ended September 30, 2013, fees paid to Maple Leaf for these services were $39.8 million (2012: $36.9 million). At September 30, 2013, the total outstanding balance payable to Maple Leaf was $6.3 million (September 30, 2012: $3.6 million; December 31, 2012: $4.8 million).

The Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. At September 30, 2013, the Company had drawn $nil (2012: $1.6 million) against this facility.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $2.5 million (2012: $3.0 million) in the three months ended September 30, 2013. For the nine months ended September 30, 2013, the Company's contributions to these plans were $7.4 million (2012: $8.9 million).

18. GOVERNMENT INCENTIVES

During the three months ended September 30, 2013, the Company did not record any government incentives in earnings (2012: $nil).

During the nine months ended September 30, 2013, the Company recorded a $2.0 million (2012: $nil) interest-free loan from the Canadian government related to the purchase of equipment for its recently commissioned bakery in Hamilton, Ontario. The loan is repayable over a period of eight years beginning in 2013.

19. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures and have their own marketing strategies and brands. The Company's Management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery comprises fresh bakery products, sweet goods, specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

(c) Non-allocated assets comprises corporate assets not separately identifiable to business segment groups. These include, but are not limited to, corporate property, plant and equipment, investment properties, assets held for sale and tax balances.

	Three months ended September 30,		Nine months ended September 30,	
	2013	2012	**2013**	2012
		(Restated) (Note 20)		*(Restated) (Note 20)*
Sales				
Fresh Bakery	**$ 266,719**	$ 277,709	**$ 780,553**	$ 805,056
Frozen Bakery	**125,782**	123,785	**378,283**	371,543
	$ 392,501	$ 401,494	**$ 1,158,836**	$ 1,176,599
Earnings before restructuring and other related costs and other income				
Fresh Bakery	**$ 26,417**	$ 28,086	**$ 68,245**	$ 64,503
Frozen Bakery	**12,483**	5,243	**24,215**	13,206
	$ 38,900	$ 33,329	**$ 92,460**	$ 77,709
Capital expenditures				
Fresh Bakery	**$ 1,247**	$ 6,821	**$ 7,995**	$ 24,553
Frozen Bakery	**7,967**	3,326	**18,802**	7,627
	$ 9,214	$ 10,147	**$ 26,797**	$ 32,180
Depreciation and amortization				
Fresh Bakery	**$ 8,190**	$ 7,918	**$ 24,425**	$ 22,622
Frozen Bakery	**4,861**	4,664	**14,522**	13,900
	$ 13,051	$ 12,582	**$ 38,947**	$ 36,522

	As at September 30, 2013	As at September 30, 2012	As at December 31, 2012	As at January 1, 2012
Total assets				
Fresh Bakery	**$ 465,687**	$ 507,476	$ 504,062	$522,236
Frozen Bakery	**342,552**	350,922	356,311	369,523
Non-allocated assets	**222,607**	106,614	109,618	79,456
	$ 1,030,846	$ 965,012	$ 969,991	$ 971,215
Goodwill				
Fresh Bakery	**$ 125,892**	$ 125,892	$ 125,892	$ 125,892
Frozen Bakery	**141,190**	137,285	138,351	140,121
	$ 267,082	$ 263,177	$ 264,243	$266,013

Information about Geographic Areas

Property, equipment and investment property located outside of Canada was $106.5 million (September 30, 2012: $96.3 million; December 31, 2012: $98.3 million). Of this amount, $58.0 million (September 30, 2012: $59.2 million; December 31, 2012: $59.1 million) was located in the U.S. and $48.5 million (September 30, 2012: $37.1 million; December 31, 2012: $39.2 million) was located in the U.K.

Goodwill attributed to operations located outside of Canada was $87.7 million (September 30, 2012: $83.8 million; December 31, 2012: $84.9 million), which is all attributed to operations in the U.S.

Revenues earned outside of Canada for the three months ended September 30, 2013 were $88.0 million (2012: $86.7 million). Of this amount $57.1 million (2012: $56.4 million) was earned in the U.S. and $30.9 million (2012: $29.3 million) was earned in the U.K. Revenue by geographic area is determined based on the shipping location.

Revenues earned outside of Canada for the nine months ended September 30, 2013 were $273.7 million (2012: $269.8 million). Of this amount $170.1 million (2012: $172.5 million) was earned in the U.S. and $103.6 million (2012: $93.4 million) was earned in the U.K. Revenue by geographic area is determined based on the shipping location.

Information about Major Customers

During the three months ended September 30, 2013, the Company reported sales to three customers (2012: two customers), each representing 16.7% (2012: 18.8%), 10.3% (2012: 12.1 %), and 11.7% (2012: 9.0%) of total sales respectively. These revenues were reported in both the Fresh Bakery and Frozen Bakery segments. No other sales were made to any one customer that represented in excess of 10% of total sales.

During the nine months ended September 30, 2013, the Company reported sales to two customers (2012: two customers), each representing 16.4% (2012:18.5 %) and 10.5% (2012: 12.2 %) of total sales respectively. These revenues were reported in both the Fresh Bakery and Frozen Bakery segments. No other sales were made to any one customer that represented in excess of 10% of total sales.

20. IMPACT OF ADOPTION OF NEW ACCOUNTING STANDARDS DURING THE PERIOD

Beginning January 1, 2013, the Company adopted revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. Under revised IAS 19, the Company is required to calculate the expected return on asset of the pension plan and its related interest costs based on the current discount rate multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the Company as incurred rather than included in the expected return. The discount rate used to calculate the net interest charge on the pension plan is 3.75% (2012: 4.5%).

The impact of the adoption of revised IAS 19 is a decrease in earnings before tax of $0.9 million ($0.7 million after-tax) for the three months ended September 30, 2013. The impact of the adoption of revised IAS 19 is a decrease in earnings before tax of $2.7 million ($2.0 million after-tax) for the nine months ended September 30, 2013. The Company has restated as follows:

Consolidated Statements of Earnings

	Three months ended September 30,			Nine months ended September 30,		
	2012	**Impact of IAS 19**	**2012**	2012	**Impact of IAS 19**	**2012**
			(Restated)			*(Restated)*
Selling, general and administrative expenses[(i)]	$ 48,381	$ 905	**$ 49,286**	$ 149,388	$ 2,715	**$ 152,103**
Income taxes	9,471	(225)	**9,246**	21,501	(675)	**20,826**
Net earnings	24,215	(680)	**23,535**	51,829	(2,040)	**49,789**
Earnings per share attributable to common shareholders[(ii)]						
Basic and diluted earnings per share	$ 0.95	$ (0.02)	**$ 0.93**	$ 2.04	$ (0.08)	**$ 1.96**

Consolidated Statements of Comprehensive Income

	Three months ended September 30,			Nine months ended September 30,		
	2012	**Impact of IAS 19**	**2012**	2012	**Impact of IAS 19**	**2012**
			(Restated)			*(Restated)*
Net earnings	$ 24,215	$ (680)	**$ 23,535**	$ 51,829	$ (2,040)	**$ 49,789**
Change in actuarial loss	(4,741)	680	**(4,061)**	(8,864)	2,040	**(6,824)**
Comprehensive income	14,410	–	**14,410**	38,042	–	**38,042**

Consolidated Statements of Changes in Total Equity

	September 30, 2012
Total equity, pre-adoption of revised IAS 19	**$ 671,143**
Impact of revised IAS 19 on:	
Net earnings	**(2,040)**
Other comprehensive income	**2,040**
Total equity under revised IAS 19	**$ 671,143**

(i) *Increase of selling, general and administrative expenses includes $0.7 million increase in pension expenses and $0.2 million increase in pension administrative fees for the quarter ended September 30, 2012 due to adoption of IAS 19. Increase of selling, general and administrative expenses includes $2.1 million increase in pension expenses and $0.6 million increase in pension administrative fees for the nine months ended September 30, 2012 due to adoption of revised IAS 19.*

(ii) *Restated basic and diluted earnings per share for the three and nine months ended September 30, 2012 is calculated based on 25.4 million of weighted average number of shares (2012 pre-adjustment: 25.4 million).*

There was no material impact on the Company's interim consolidated balance sheets.

21. SUBSEQUENT EVENTS

On October 21, 2013 the Company announced that it has established a Special Committee comprised solely of independent directors in connection with the potential sale by Maple Leaf, of its 90% interest in the Company. Maple Leaf has advised the Company's Board that it is exploring strategic alternatives for it's 90% interest in the Company, including a potential sale. There can be no assurance that the process being undertaken by Maple Leaf will result in the consummation of any transaction.

On October 24, 2013, the Company announced that it has signed a definitive agreement to sell substantially all of the net assets of its fresh pasta and sauce business, a component of the Fresh Bakery segment, for gross proceeds of approximately $120 million. Subject to Competition Bureau review, the transaction is expected to close by the end of 2013.



Canada Bread Company, Limited

10 Four Seasons Place
Etobicoke, Ontario M9B 6H7
www.canadabread.ca